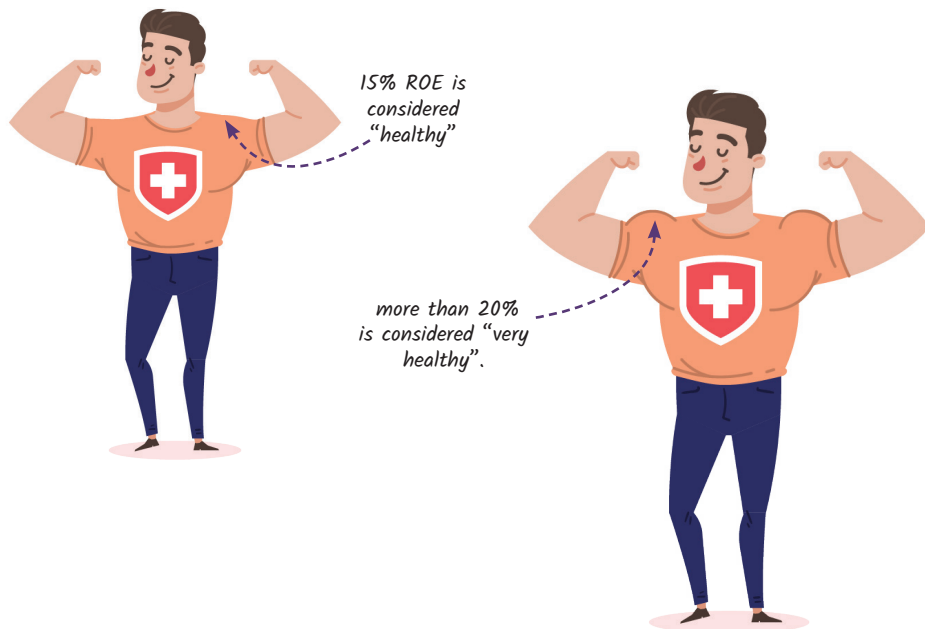


For businesses, it's a constant trade off between margins and asset turnover. Companies can decrease the margin to increase asset turnover and vice versa but keeping both of them high is challenging.

In this case, we see that both the margins stable asset turnover. We can see that the company is generating increasing returns on equity. Companies can also have high financial leverage to increase Return on Equity. However, this also increases the risk.

So, this is how we understand margins, asset turnover, and leverage, and we get the ROE by multiplying them. More than 15% ROE is considered "healthy" while anything more than 20% is considered "very healthy". This is no fixed rule but a general rule of thumb.



We that the company's business is generating attractive return on equity mainly due to health margins and asset turnover. The company does not seem to be using financial leverage very aggressively.